SUMMARY · MK 1 ORGANIZATIONAL BEHAVIOR & MANAGING PEOPLE · WEEK 6

Organizational Dynamics in the Indonesian Context — SOEs vs Private

Why do SOEs often trail private or global peers despite big assets? This week uses Dr. Yuni Ros Bangun's LCOP model (Leadership, Culture, Organizational Politics): leadership and culture build organizational capability, capability drives performance, and politics erodes it — more so in SOEs.

Material

1 Warm-up: what does this data say?

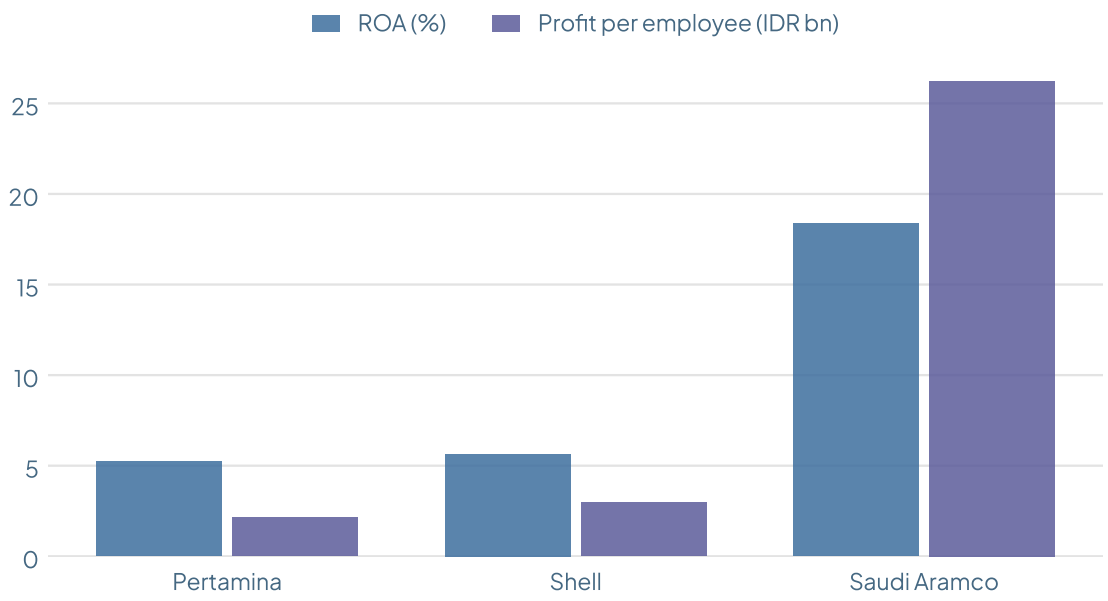
Indicator (2023)	Pertamina	Shell	Saudi Aramco
ROA	~5.24%	~5.66%	~18.36%
Employees	~35,000	~103,000	~73,000
Revenue/employee	~IDR 34bn	~IDR 48.6bn	~IDR 107bn
Profit/employee	~IDR 2.15bn	~IDR 2.97bn	~IDR 26.25bn

PLN subsidiaries also differ: ROA ~2.1%, ~4.0%, ~8.1%. Same industry, different results → performance is driven by **internal dynamics: capability, leadership and culture**, not just assets.

2 Visualised: same industry, very different performance

Deep dive

Oil & gas 2023: ROA and profit per employee



Source: MK1 week 6 opening data (approx.).

~12x
Aramco profit per employee vs Pertamina

~3.5x
Aramco ROA vs Pertamina

2.0 → 7.2
Profit to staff cost across PLN units

Careful
Aramco's cheap reserves explain part of the gap; differences between similar PLN units point to leadership, culture and capability.

3 Organizational capability: 9 dimensions (SBM–ITB model)

Capability is *tangible* (assets, tech) and *intangible* (what the organization does very well that predicts performance) — "competing outside from inside out".

Nine dimensions, scored 1 (Nascent) to 5 (Exemplary): **Speed, Innovation, Customer connectivity, Seeks change, Strategic responsiveness,**

International working environment, Strategic alliances, Efficiency, Talent. Seeks Change (~1.2) and Speed (1.0) loaded highest.

4 The LCOP model: how it connects

Studied in palm oil (PTPN SOEs vs private). Turbulence (Ansoff, 17 experts): CPO 2.66, cooking oil 3.23. Survey analyzed with **SEM**.

Leadership → Culture → **Capability** → Performance
Leadership ⊣ Politics ⊣ Performance

- Leadership raises culture and capability and **lowers** politics.
- Capability raises performance; politics lowers it.
- **Mediation:** leadership and culture affect performance only through capability.

Equation	SOE	Private
Performance	1.08 Cap – **0.94** Politics	1.08 Cap – 0.68 Politics
Capability	1.44 Lead + **0.60** Culture	1.58 Lead + 0.06 Culture

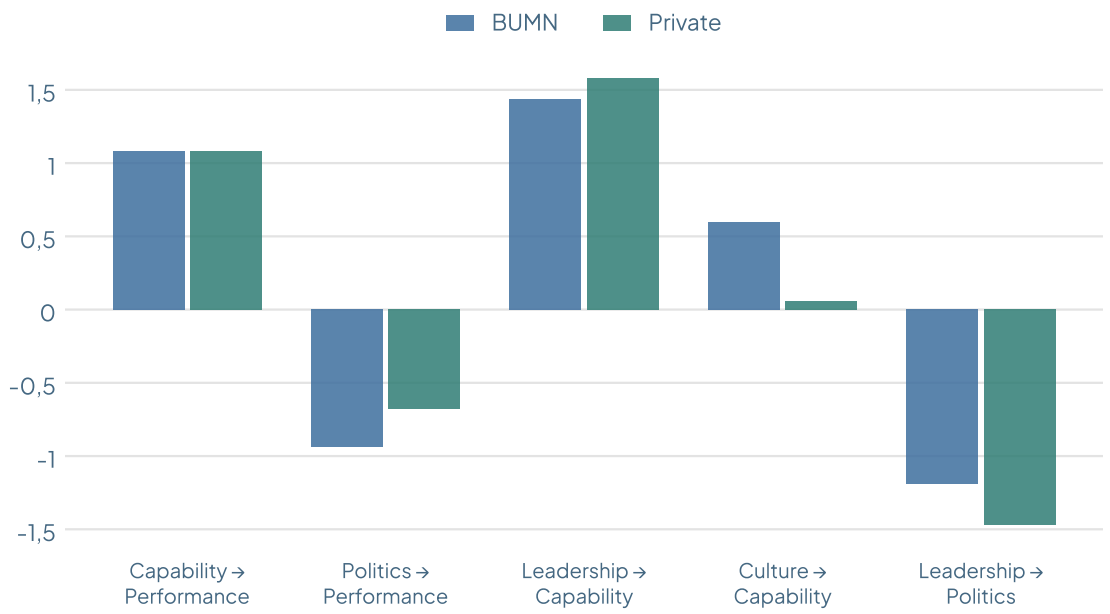
Politics hurts SOEs more; culture matters more in SOEs; private capability is leader-driven. Political perception is significantly higher in SOEs ($p = 0.000$).

5 The LCOP model drawn: SOE vs private Deep dive

Leadership → Culture → Capability → Performance

Negative path: Leadership ⊣ Politics ⊣ Performance.

LCOP path coefficients



Palm-oil industry study (SEM).

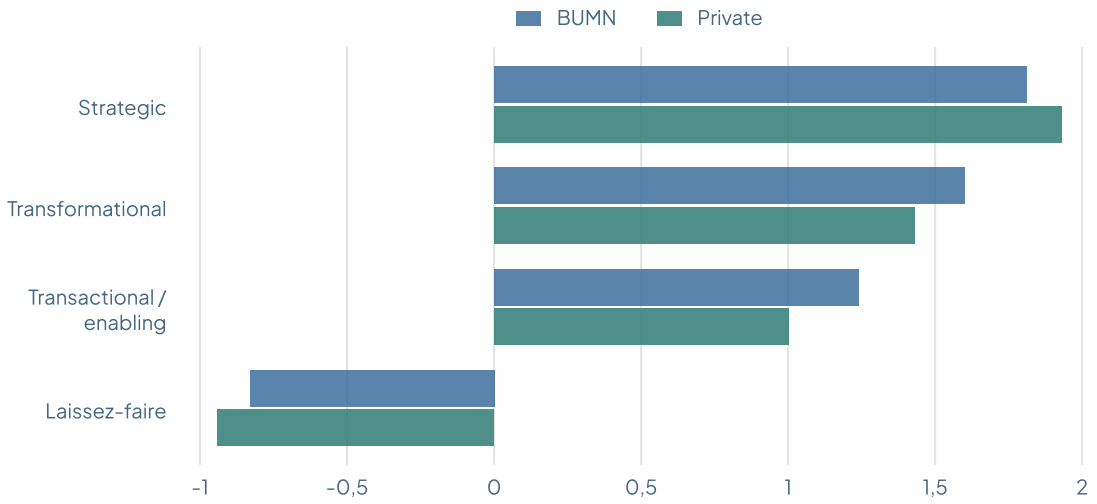
SOEs

Culture shapes capability (0.60); politics hurts more (−0.94).

Private

Capability driven by leaders (1.58).

Leadership styles with the strongest effect



Row 3: transactional (SOE) vs enabling (private). Laissez-faire is negative in both.

6 Which dimensions matter most?

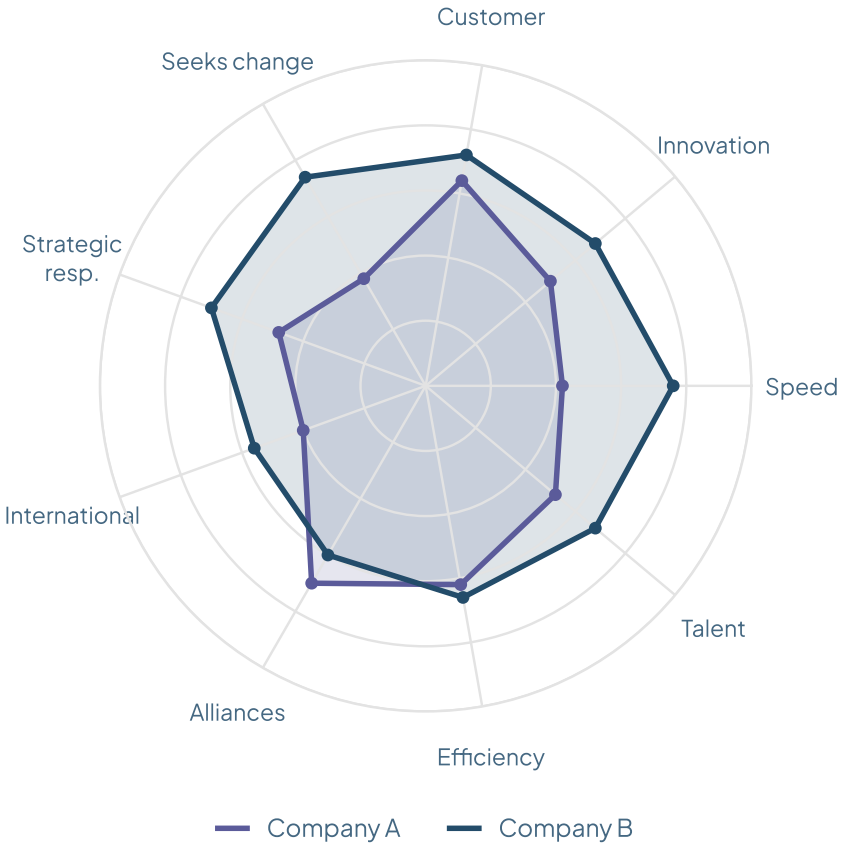
	SOE	Private
Strongest leadership	Strategic, Transformational, Transactional	Strategic, Transformational, Follower facilitation
Laissez-faire	Negative	Negative
Strongest culture	Adaptability, Involvement	Mission/goals, Consistency
Most harmful politics	Resistance to change, Self-serving bias	External intervention, Self-serving bias

Implications: lead strategically and transformationally; avoid laissez-faire; build adaptive, involving cultures; watch resistance to change and self-serving bias. In palm oil, SOEs excel at social impact, smallholder links and compliance; private firms at speed, innovation, global connectivity, efficiency and capital — hybrid partnerships can combine both.

7 Exercise: reading a company's capability radar Deep dive

Illustrative radar to practise reading capability surveys.

Example 9-dimension capability radar (1–5, illustrative)



1. Find the lowest high-loading dimensions.
2. Trace roots in leadership, culture, politics.
3. Choose interventions.
4. Match to industry turbulence.

8 Reading the LCOP model numbers: coefficients, the mean test and implications

The slides are full of *Structural Equation Modeling* (SEM) results from Yuni Ros Bangun's (SBM-ITB) research on state-owned (PTPN) and private plantation companies. How to read them:

1. The main equations

Equation	Combined	SOE	Private

Performance = a·Capability – b·Politics	1.26 · C – 0.47 · P	1.08 · C – **0.94** · P	1.08 · C – 0.68 · P
Capability = c·Leadership + d·Culture	1.03 · L + 0.52 · Cu	1.44 · L + 0.60 · Cu	**1.58** · L + 0.06 · Cu
Leadership → Culture	1.43	1.34	1.59
Leadership → Politics	−1.37	−1.19	−1.47

How to read: a positive coefficient means more A, more B; negative means the reverse. In SOEs, politics "eats" performance almost as much as capability adds to it (−0.94 vs +1.08). In private firms, capability is almost entirely driven by leadership (1.58), while culture has almost no direct effect (0.06).

2. The most influential dimensions (factor loadings)

Variable	SOE — strongest dimensions	Private — strongest dimensions
Leadership	Strategic (1.81), transformational (1.60), transactional (1.24); laissez-faire negative (−0.83)	Strategic (1.93), transformational (1.43), facilitating employees (1.00); laissez-faire −0.94
Culture	Adaptability (1.31), involvement (1.27)	Mission/goals (1.00), consistency (0.98)
Political behaviour	Resistance to change (1.44), self-serving bias (1.42), power challenge (1.00), favouritism (0.89)	External intervention (1.15), self-serving bias (1.11), power challenge (1.00), resistance to change (0.98)
Capability	Speed (1.00) and seeks change (~1.2) strongest in both; innovation weakest (~0.5)	

3. The mean-difference test (independent samples t-test)

Question: is perceived political behaviour higher in SOEs than in private firms? H_0: $\mu_{SOE} = \mu_{Private}$; H_1: they differ. Result: significance (Sig. 2-tailed) = 0.000 for external politics (mean difference 0.53) and internal politics (difference 0.80). Since 0.000 < 0.05, H_0 is rejected: **perceived political behaviour is higher in SOEs**. (Note: the slide says "if μ1 – μ2 ≤ 0.05"; what is compared with 0.05 is actually the *p-value/significance*, not the mean difference.) This agrees with Vigoda-Gadot & Kapun (2005).

4. Managerial implications

- Raise performance by building capability **and** protect it by curbing politics — both together.
- In SOEs, prioritise reducing resistance to change and self-serving bias (for example transparent decision and promotion processes), strengthen strategic and transformational leadership, and an adaptable, involving culture.
- In private firms, watch for external intervention (owners/outsiders) and strengthen mission clarity and consistency.

Slide exercise: PT ABC, PT PQR and PT KPI

Steps: (1) read each company's nine capability scores; (2) flag dimensions with high loadings (speed, seeks change, talent, international working environment) that score low — they are priorities because they drive performance most; (3) check for political symptoms (favouritism, resistance to change) that could "eat" the gains; (4) propose matching leadership and culture interventions. For PT KPI (an oil and gas subsidiary), link to the oil and gas ROA table: Pertamina's ROA (~5.2%) is far below Saudi Aramco's (~18.4%) and slightly below Shell's (~5.7%) — the question is which capability dimensions explain the gap in productivity per employee.

Key takeaways

1. Same industry, different results → internal dynamics, not just assets.
2. Organizational capability: 9 dimensions; Seeks Change and Speed load highest.
3. LCOP: Leadership → Culture → Capability → Performance; Politics erodes performance.
4. Leadership and culture affect performance only via capability (mediation).
5. Organizational politics is higher and more harmful in SOEs.
6. In SOEs: strategic/transformational leadership, adaptive & involving culture, curb resistance and self-serving bias.

Case studies

Case & worked answers

Exercise: reading capability survey results (PT ABC, PT PQR, PT KPI)

The slides end with an exercise comparing two firms' capability surveys (charts only in the slides) and asking what you'd recommend — including at PT KPI.

Approach: (1) map the nine scores and flag low ones, especially high-loading dimensions (seeks change, speed, talent, international); (2) diagnose roots in L–C–P; (3) prioritize — in SOEs, reducing politics has big impact (–0.94), so merit-based, transparent systems are quick wins alongside strategic/transformational leadership development; (4) match dimensions to industry turbulence.

Link: Microsoft (Week 4) is LCOP in action — stack ranking raised politics and destroyed capability; Nadella fixed leadership and culture.

Practice questions

Try answering first. The answer key is below each question.

1. In LCOP, leadership affects performance mainly through…

A. Directly
B. Organisational capability (and lower politics)
C. Share price
D. Salaries

Answer: B. Mediation via capability.

2. Politics → performance is –0.94 in SOEs vs –0.68 private. Meaning…

A. No effect in SOEs
B. Politics hurts SOEs more
C. Private is more political
D. Same

Answer: B. Larger negative coefficient.

3. Highest-loading capability dimensions are…

A. Efficiency, Alliances
B. Seeks change, Speed
C. International, Talent
D. Customer, Innovation

Answer: B. ~1.2 and 1.0.

---

4. Which style is negative in both SOEs and private firms?

A. Strategic
B. Transformational
C. Laissez-faire
D. Transactional

Answer: C. −0.83 and −0.94.

---

5. In SOEs, which culture traits most shape capability?

A. Mission & consistency
B. Adaptability & involvement
C. Hierarchy
D. Internal competition

Answer: B. 1.31 and 1.27.

Sources

- Week 6 Organizational Dynamics in the Indonesian Context.pdf
- LCOP BUMN PRIVATE.pdf